

**Commenting Party:** Competitive Carriers Association (“CCA”)

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**Comment Submission:** Section 1201 Study: Notice and Request for Public Comment  
*Notice of Inquiry*  
U.S. Copyright Office Docket No. 2015-8  
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## **COMMENTS OF COMPETITIVE CARRIERS ASSOCIATION**

Competitive Carriers Association (“CCA”) submits the following comments in response to the Notice of Inquiry (“Notice”), in which the United States Copyright Office seeks comment on the operation and effectiveness of the Section 1201 rulemaking process under the Digital Millennium Copyright Act (“DMCA”). These comments focus on the proposal to create a presumption in favor of renewal when there is no meaningful opposition to the continuation of an exemption (Subject of Inquiry # 3) and on the proposal seeking other permanent exemption categories (Subject of Inquiry # 9).

CCA has been an active participant in several triennial rulemaking proceedings and supports adoption of a presumption of renewal. A presumption will streamline the rulemaking process, thereby easing the burden of participation in rulemaking proceedings for all stakeholders. CCA also submits that the wireless device unlocking exemption should be recommended for a permanent exemption category.

### **I. INTRODUCTION**

CCA is the nation’s leading association for competitive wireless providers and stakeholders across the United States. CCA’s membership includes nearly 100 competitive

wireless providers ranging from small, rural carriers serving fewer than 5,000 customers to regional and national providers serving millions of customers. The licensed service area of CCA’s carrier members covers more than 95 percent of the nation. CCA also represents nearly 200 associate members consisting of small businesses, vendors (including manufacturers and distributors), and suppliers that serve carriers of all sizes.

CCA applauds the Register of Copyrights (the “Register”) for recommending that Congress revise Section 1201 to create a presumption in favor of renewal when there is no meaningful opposition to the continuation of an exemption.<sup>1</sup> CCA has long advocated for this presumption. The unlocking exemption for wireless devices fosters competition in the mobile broadband marketplace, benefitting consumers and carriers alike. The exemption also eases the burden on those seeking to participate in the resource-intensive triennial rulemaking proceeding.<sup>2</sup> CCA also agrees that it is time for Congress to review and revamp its permanent exemption categories, and that exemptions to the prohibition on circumvention for wireless devices are ripe for permanent consideration.

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<sup>1</sup> See *The Register’s Perspective on Copyright Review: Hearing Before the H. Comm. on the Judiciary*, 114th Cong. 21 (written statement of Maria A. Pallante, Register of Copyrights and Dir., USCO) (2015) [http://judiciary.house.gov/\\_cache/files/1c82a3a6-3b1b-4a51-b212-281454d1e56e/written-testimony-of-register-maria-a-pallante.pdf](http://judiciary.house.gov/_cache/files/1c82a3a6-3b1b-4a51-b212-281454d1e56e/written-testimony-of-register-maria-a-pallante.pdf) (“*The Register’s Perspective on Copyright Review Hearing*”); U.S. COPYRIGHT OFFICE, SECTION 1201 RULEMAKING: SIXTH TRIENNIAL PROCEEDING TO DETERMINE EXEMPTIONS TO THE PROHIBITION ON CIRCUMVENTION, RECOMMENDATION OF THE REGISTER OF COPYRIGHTS 4 (2015), *available at* <http://copyright.gov/1201/2015/registers-recommendation.pdf> (“2015 Recommendation”); See also U.S. Copyright Office, Library of Congress, Section 1201 Study: Notice and Request for Public Comment, *Notice of Inquiry*, Docket No. 2015-8 at 11 (rel. Dec. 22, 2015) (the “*Notice*”).

<sup>2</sup> See Testimony of Steven Berry before the United States Copyright Office, at pps. 33 – 34 (May 31, 2012), *available at* <http://copyright.gov/1201/2012/hearings/transcripts/hearing-05-31-2012.pdf>; see also Testimony of Steven Berry before the United States House of Representatives Committee on the Judiciary, Subcommittee on Courts, Intellectual Property and the Internet, *H.R. 1123, the “Unlocking Consumer Choice and Wireless Competition Act”* (June 6, 2013), *available at* <http://judiciary.house.gov/index.cfm/hearings?ID=379A2DB0-9D53-E193-4DBB-9687D1DFA54C>.

The triennial rulemaking proceeding is a burdensome process, which requires a great deal of time and resources from organizations like CCA to ensure that consumers continue to have the ability to use unlocked devices on networks of their choice, thus promoting competition and innovation. There are steps that Congress and the Copyright Office can take to ease these burdens for both commenters like CCA and the Copyright Office itself, to ensure a more efficient path to achieving the goals of the Section 1201 triennial rulemaking process. Specifically, Section 1201 should be revised to provide for presumptive renewal of previously granted exemptions when there is no meaningful opposition to the renewal. Congress also should consider the adoption of new permanent exemptions, including for unlocking wireless devices.

## **II. CCA HAS BEEN AN ACTIVE PARTICIPANT IN THE SECTION 1201 TRIENNIAL RULEMAKING PROCEEDINGS**

Over the past decade, CCA has participated in several rounds of the Section 1201 triennial proceedings, due in large part to the considerable adverse effect that the outcome of the proceedings may have on competition in the wireless broadband marketplace and, therefore, on consumers. Specifically, CCA has sought exemptions that would allow circumvention of access controls on wireless devices such as mobile phones and tablets to permit users to connect to wireless networks through the carrier of their choice. These efforts have largely been successful; the Librarian of Congress adopted exemptions permitting unlocking of wireless handsets in 2006, 2010, 2012, and 2015.<sup>3</sup>

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<sup>3</sup> See 2015 Recommendation at 138. In 2012, the adopted exemption was more restrictive and limited to wireless handsets obtained by January 26, 2013. In response to vocal public disapproval and advocacy from stakeholders, Congress passed the Unlocking Act, which, among other things, reinstated the more broad 2010 unlocking exemption for wireless handsets. Congress also directed the Copyright Office to examine and consider in the 2015 rulemaking proceeding whether additional types of devices should be included under this exemption. See

In the most recent proceeding, CCA pursued a continuation of the unlocking exemption for wireless telephone handsets and sought to extend the exemption to other types of wireless devices through five separate petitions for the following classes of “unlocking” exemptions: (1) wireless telephone handsets; (2) all-purpose tablet computers; (3) mobile connectivity devices (i.e., mobile hotspots); (4) wearable wireless devices; and (5) consumer machines (the Internet of Things).<sup>4</sup> In addition, CCA submitted several rounds of comments for each proposed exemption,<sup>5</sup> and provided testimony during a hearing before the Copyright Office concerning the renewal of the exemption for unlocking handsets.<sup>6</sup> To prepare the written submissions and oral testimony, CCA and other participating organizations invested a great deal of time and resources in reviewing the record and meeting the extensive requirements necessary to qualify for an exemption. While CCA recognizes the Copyright Office’s intent of creating a more robust record by subdividing the categories, increased burdens associated with more granular divisions, particularly where it does not make sense “from a technology perspective,”<sup>7</sup> in fact make

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Unlocking Consumer Choice and Wireless Competition Act, Pub. L. No. 113-144, 128 Stat. 1751 (2014) (the “Unlocking Act”).

<sup>4</sup> For consistency and efficiency, CCA also requested that these exemptions and other similar exemptions be consolidated into a single “wireless device” exemption, as they all involve computer programs used in devices that connect to a telecommunications and/or broadband network.

<sup>5</sup> See Comments of the Competitive Carriers Association, Proposed Class 11 Unlocking – Wireless Telephone Handsets, Sixth Triennial Section 1201 Proceeding (filed Feb. 6, 2015); see also Comments of the Competitive Carriers Association (“CCA”) and TracFone Wireless, Inc. (“TracFone”), Proposed Class 11 Unlocking – Wireless Telephone Handsets, Sixth Triennial Section 1201 Proceeding (filed May 1, 2015).

<sup>6</sup> See Statement of Michael Lazarus to the Library of Congress United States Copyright Office, *Proposed Class 11-12: Unlocking – wireless telephone handsets and tablet*, Sixth Triennial 1201 Rulemaking Hearing, (May 26, 2015), available at <http://copyright.gov/1201/2015/hearing-transcripts/1201-Rulemaking-Public-Roundtable-05-26-2015.pdf>.

<sup>7</sup> See *Oversight of the United States Copyright Office Before the Subcomm. on Courts, Intellectual Prop., & the Internet of the H. Comm. on the Judiciary*, 113th Cong. 113-116, p. 57 (2014) (testimony of the Hon. Maria A. Pallante, Register of Copyrights and Director, U.S. Copyright Office).

participation harder and can be a barrier to technological innovation that has nothing to do with infringement.

Ultimately, the Copyright Office recommended an unlocking exemption that covered a variety of portable wireless devices, including handsets, tablets, mobile hotspots, and wearable devices, which corresponded with Congress’s directive in the Unlocking Act. The Register of Copyrights’ recommendation for this exemption was due in large part to the fact that there was no meaningful opposition to the majority of these classes.<sup>8</sup>

Notably, after reviewing the record and offering recommendations for exemptions, the Register also recognized that “a number of proposals essentially seek renewal of existing exemptions – for example, unlocking of cellphones.”<sup>9</sup> Therefore, the Register called for Congress to revise Section 1201 to “create a presumption in favor of renewal when there is not meaningful opposition to the continuation of an exemption.”<sup>10</sup>

### **III. SUBJECT INQUIRY #3: ADOPTING A PRESUMPTION IN FAVOR OF RENEWAL WHEN THERE IS NO MEANINGFUL OPPOSITION WILL EASE SIGNIFICANT BURDENS ON PARTICIPANTS AND THE COPYRIGHT OFFICE, AND WILL MINIMIZE UNCERTAINTY FOR CONSUMERS**

Under the current framework of the Section 1201 triennial review process, the burden of proof for extending an existing exemption rests on the proponents of the exemption. The

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<sup>8</sup> Although TracFone initially filed comments in opposition to the handset unlocking exemption, as the Register recognized, “at bottom it [was] not opposed to a narrow ‘pro-consumer’ exemption.” 2015 Recommendation at 156. In fact, CCA and TracFone worked collaboratively to prepare and submit reply comments in support of the proposed exemption, which eliminated TracFone’s original concerns.

<sup>9</sup> 2015 Recommendation at 4.

<sup>10</sup> *Id.*

Copyright Office conducts each triennial proceeding *de novo* because it believes that Congress “made clear” this standard of review was required.<sup>11</sup> This is not correct.

While CCA is in favor of a congressional solution, CCA believes the Copyright Office has the authority to revise its procedures if congressional intervention is not obtained. The Copyright Office relies on legislative history to guide its understanding of the *de novo* review, which does not appear in the statute itself.<sup>12</sup> Indeed, the DMCA is silent as to whether or not the Copyright Office can establish a presumption in favor of existing exemptions.

A *de novo* review further burdens proponents as it requires a fresh new case to be made to continue exemptions every three years. The cost involved to take part in this effort often proves too onerous for meaningful participation by all stakeholders. CCA can attest that many regional and rural competitive carriers—who are placed at a competitive disadvantage when nationwide carriers are allowed to lock up the marketplace with exclusive access to the most sought-after devices—are ill-equipped to mobilize every three years. To decrease the burdens placed on proponents, the Register should abandon its *de novo* review requirement for existing exemptions, and should permit a presumption of renewal.

Indeed, the Register has previously found that, where similar facts are presented, the Register is likely to reach a similar conclusion with respect to the renewal of a particular exemption. Specifically, absent a significant change in circumstances and given the adverse effects that will result in allowing exemptions to expire, the Copyright Office should presume that the exemption remains valid, and opponents should have the burden of proving otherwise. Therefore, it is important that previous decisions to approve and extend an exemption have

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<sup>11</sup> Notice at 8.

<sup>12</sup> See H.R. Rep. No. 105-551, pt. 2, at 37 (explaining that for every rulemaking, “the assessment of adverse impacts on particular categories of works is to be determined *de novo*”); Cf. 17 U.S.C. § 1201.

precedential value. Such an approach would be consistent with the overarching goals of the Copyright Act and would minimize uncertainty for individuals affected by the exemptions.

**a. A Presumption of Renewal Would Ease The Burdens Associated With The Resource-Intensive Triennial Rulemaking Process**

The Copyright Office should specifically establish a presumption in favor of existing exemptions. The triennial rulemaking proceedings are extremely resource- and time- intensive, requiring the preparation of several rounds of written submissions, reviewing a substantial written record,<sup>13</sup> and potentially participating in a hearing before representatives of the Copyright Office. While CCA appreciates the Copyright Office’s recent adjustment to the administrative procedures surrounding the Section 1201 exemption review, it agrees that “[e]ven with these improvements, however, the rulemaking procedure, as enacted by Congress, is resource-intensive for both participants and the Office.”<sup>14</sup> This is because proponents for existing exemptions must seek re-approval of uncontroversial exemptions – that is they must continuously prove their case every three years. Proponents seeking an exemption must establish that “persons who are users of a copyrighted work are, or are likely to be in the succeeding 3-year period, adversely affected by the prohibition . . . in their ability to make non-infringing uses under this title of a particular class of copyrighted works.”<sup>15</sup> If proponents are seeking an exemption for more than one proposed class, even if the classes are substantially similar, they must file separate submissions for each proposed class during each stage of the public comment period.<sup>16</sup>

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<sup>13</sup> Nearly 40,000 comments were submitted in the sixth triennial rulemaking. *Notice* at 5.

<sup>14</sup> *Id.* at 11.

<sup>15</sup> *See* 17 U.S.C. 1201(a)(1)(C).

<sup>16</sup> *See* 79 FR 73856, at 73857 (Dec. 12, 2014) (“NPRM”).

On several occasions, CCA has expressed concern over the administrative burdens associated with the triennial rulemaking proceedings and requested adoption of a presumption of renewal.<sup>17</sup> As the Register has recognized, other stakeholders have also expressed frustration at the lack of a presumptive renewal.<sup>18</sup> CCA agrees that the “public record supports amending Section 1201 to make it easier to renew exemptions that have been previously adopted and are in force at the time of the triennial rulemaking proceeding.”<sup>19</sup> CCA’s experience also supports adoption of a presumption in favor of existing exemptions. Although many of the different unlocking classes proposed by CCA in the 2015 rulemaking proceeding possessed similar attributes – that is, they had similar asserted non-infringing uses and similar asserted adverse effects<sup>20</sup> – CCA still was required to prepare and file separate petitions and rounds of comments

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<sup>17</sup> See Testimony of Steven Berry before the United States Copyright Office, at pps. 33 – 34 (May 31, 2012), *available at* <http://copyright.gov/1201/2012/hearings/transcripts/hearing-05-31-2012.pdf>; *see also* Testimony of Steven Berry before the United States House of Representatives Committee on the Judiciary, Subcommittee on Courts, Intellectual Property and the Internet, *H.R. 1123, the “Unlocking Consumer Choice and Wireless Competition Act”* (June 6, 2013), *available at* <http://judiciary.house.gov/index.cfm/hearings?ID=379A2DB0-9D53-E193-4DBB-9687D1DFA54C>.

<sup>18</sup> See *The Register’s Perspective on Copyright Review Hearing* 21 n.86; *Chapter 12 of Title 17: Hearing Before the Subcomm. on Courts, Intellectual Prop., & the Internet of the H. Comm. on the Judiciary*, 113th Cong. 19-20 (2014) (statement of Mark Richert, Director of Public Policy, American Foundation for the Blind) (“[W]e urge Congress to take action to relieve the burden of repeatedly seeking re-approval of uncontroversial exemptions like the one we must re-propose during each review.”). Representatives of copyright owners likewise agreed that the process of renewing uncontroversial exemptions could be streamlined. *Id.* at 64 (statement of Christian Genetski, Senior Vice President and General Counsel, Entertainment Software Association) (“I think that we all share the frustration expressed by Mr. Richert in his testimony about the need to return repeatedly and use extensive resources to seek a renewal of an exemption where no one is opposing the exemption.”); *Id.* at 79 (statement of Jonathan Zuck, President, ACT | The App Association) (“I certainly think that the renewal process of an exemption is something that could be modified and streamlined especially when there are no objections to that renewal which is very often the case.”); *Id.* at 125 (written statement of Allen Adler, General Counsel & Vice President for Government Affairs, Association of American Publishers) (noting that “stakeholders broadly agree that reauthorization of non-controversial exemptions could be more efficient”).

<sup>19</sup> See *The Register’s Perspective on Copyright Review Hearing* at 21.

<sup>20</sup> Indeed, even the presented arguments under the statutory factors were the same or similar and accordingly, in addressing these factors in the Recommendation, the Register



for each class, even if an exemption was already in place. CCA, as noted above, filed five separate petitions all essentially seeking the same exemption. In addition, CCA also prepared five separate sets of initial comments for each proposed class, and one set of reply comments for one proposed class. This is a requirement that even the Copyright Office has recognized requires “added effort.”<sup>21</sup> Here, the five proposed classes were all forms of wireless devices that contain computer programs used in devices that connect to a telecommunications and/or broadband network, which is at the forefront of the exemption. If the proposed presumption of renewal is not adopted, then CCA and other potential proponents will need to decide in 2018, and then 2021 and so on, whether it can expend substantial resources that may be otherwise directed in a more efficient manner.

#### **b. A Presumption of Renewal Is In The Public Interest**

Exemptions are recommended by the Register (and ultimately adopted by Congress) based on several factors, but largely on whether the inability to circumvent the technological measure at issue has or is likely to have adverse effects on the proposed non-infringing uses.<sup>22</sup> Indeed, a reason that proponents initially seek an exemption is to avoid adverse effects that are not in the public interest. While CCA can specifically attest to the technological measures and exemptions that it has direct knowledge of – that is, exemptions permitting the unlocking of wireless devices – it stresses that a failure to extend any exemption, whether due to the inability

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combined four of the device classes together in its response (which were ultimately included under the exemption). 2015 Recommendation at 154 (noting that “[p]roponents of all of the unlocking classes ma[de] the same basic arguments under the 1201(a)(1) statutory factors.”).

<sup>21</sup> *Id.*

<sup>22</sup> *See* 17 U.S.C. § 1201(a)(1)(D).

of resource-strained proponents to participate or otherwise, could likely have substantial adverse effects on the attested non-infringing uses.<sup>23</sup>

Absent an exemption to wireless device unlocking, wireless device owners may be forced to purchase a new wireless device, which are getting increasingly expensive, to change service providers and connect to the wireless network of their choice. This may result in substantial consumer costs in the form of the price paid for a new wireless device (while their current device becomes obsolete), and in the form of lost personal information stored on the device such as contacts, music, apps, and other investments made in peripheral items. Further, unlocking is particularly important for rural and regional carriers that lack the scope and scale to gain access to the latest, most in-demand devices directly from the equipment manufacturers, which then prevents millions of consumers from accessing the latest devices, and stifles competition and innovation. Consumers should not be forced to choose between keeping their devices and being locked to an undesirable network or losing their device and the data that comes with it.

Moreover, without a presumption of renewal, consumers and beneficiaries of the adopted exemption would live in an uncertain world where the rules may change every three years. Consumers should not have to worry about losing the right to use their devices on a network of their choosing every few years. Without this exemption, consumers would be forced to purchase a new wireless device to change service providers, which may result in substantial costs to the consumer – both in price as well as in the replacement of purchased features specific to the

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<sup>23</sup> In short, the exemption(s) for which CCA advocates allow consumers to unlock certain used portable wireless devices they purchased from wireless carriers or their authorized dealers in order to use them on other carriers' networks. In this instance, a failure to extend the exemption would have a substantial adverse effect on non-infringing uses of wireless devices and their associated firmware, software, and data.

device. These costs may hinder a consumer's ability to switch service providers, thus stifling competition.

In addition, there is no harm to adopting a presumption. A presumption would only be in place if meaningful opposition was not presented during a proceeding. Thus, if meaningful opposition to an exemption was presented, parties would then have to justify the continuation of the exemption. This provides a fallback option in the instance that there are significant changes in circumstances between proceedings. If no meaningful opposition arises, it is in the public interest for an exemption to be preserved.

#### **IV. SUBJECT MATTER INQUIRY #9: THE 2015 EXEMPTION ALLOWING THE UNLOCKING OF PORTABLE WIRELESS DEVICES SHOULD BE INCLUDED IN THE PERMANENT EXEMPTION CATEGORY**

The Notice also seeks comment on whether Congress should consider establishing other permanent exemption categories for the statute.<sup>24</sup> An exemption permitting the unlocking of portable wireless devices is a prime candidate for a permanent exemption. Notably, Congress has continuously provided its stamp of approval for this exemption. In passing the Unlocking Act, Congress “permanently established” that circumvention under any exemption to permit a wireless telephone handset or other wireless device to connect to a different telecommunications network may be initiated by the owner of the handset or device, or other specific individuals.<sup>25</sup> While the Copyright Office has expressed concern that current Section 1201 permanent exemptions “have failed to keep up with changing technologies,”<sup>26</sup> the unlocking exemption is quite the opposite. The 2015 unlocking exemption as adopted is broad and covers a wide array of wireless devices, from mobile phones to “smart watches.” As such, this exemption is

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<sup>24</sup> Notice at 18.

<sup>25</sup> *Id.* at 9; Unlocking Act, § 2(a), (c), 128 Stat. at 1751-52; *see also* 37 C.F.R. 201.40(b)(3) (2012).

<sup>26</sup> Notice at 13.

designed to evolve alongside devices using the underlying software. The Register should therefore recommend that Congress adopt a permanent wireless device unlocking exemption.

## **V. CONCLUSION**

For the foregoing reasons, CCA supports a revision of Section 1201 to provide for presumptive renewal of previously granted exemptions when there is no meaningful opposition to renewal, or the adoption of a permanent exemption for wireless device unlocking, consistent with the 2015 exemption.

Respectfully submitted,

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